

O level economics

Chp:- Demand and Supply

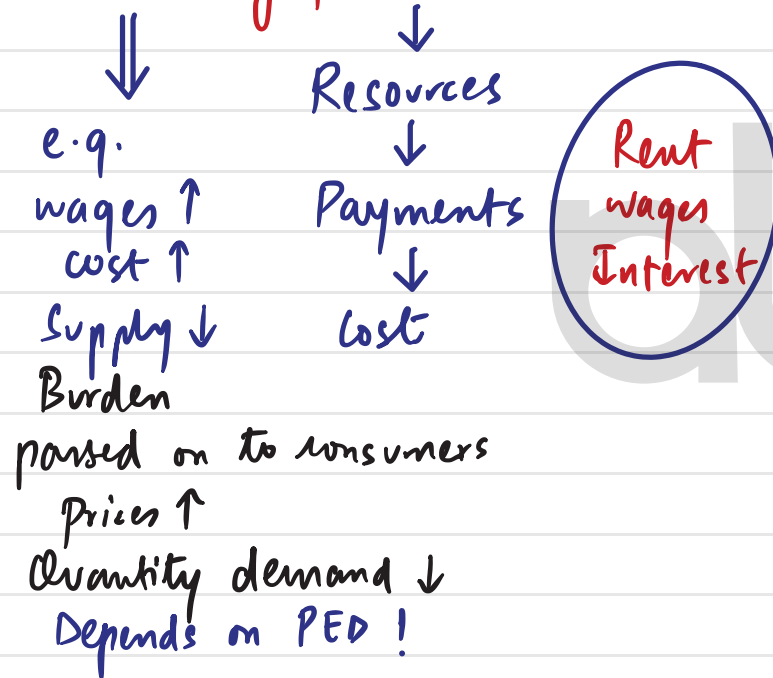
Topic:- Factors affecting supply



Zarale
Mushlag

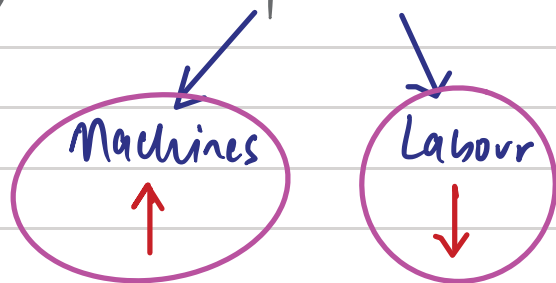
Factors affecting Supply (other than price) → Quantity supplied
 ↓
 other factors (Shift) → Movement

① Cost of production



Note:- Every firm requires resources to produce goods and services, and each resource requires payments. Any changes in payments will directly affect firm's cost of production and thus affect supply. For e.g. labour demanding high wages will increase cost of production, causing a fall in supply. The increased burden on the firm is passed on to consumers in form of higher prices, which causes contraction in quantity demanded. The extent to which quantity demanded contracts depends on price elasticity of demand.

(2) Technological Advancement → Capital intensive technique of production, that is more use of machines relative to labour!



$$\text{Labour productivity} = \frac{\text{Total output}}{\text{No. of Labour}}$$

⇒ Less Labour are able to produce more with the use of machines, causing increased efficiency and higher output at lower cost!

(3) Subsidy → Subsidy is a grant or cash payment given by the government to the producers to encourage them to produce more, this reduces cost of production and encourages them to supply more. Increase in supply creates surplus, which reduces price level and thus benefits consumers as they can purchase greater units at lower price.

↓
Grant / cash payment

By:- Government

To:- Producers

Why:- cost of production ↓

Supply ↑

Surplus

Benefit passed

prices ↓

Quantity demand ↑

- * Subsidy provided to domestic car industry to deal with competition from abroad → Benefits producers (TR ↑)
- * Subsidy provided to basic necessity products → Benefits consumers, total expenditure reduces!

④ Indirect tax → Always connect to government objective

e.g. sales tax
 cost of production ↑
 Supply ↓
 Burden

passed on to consumers
 prices ↑
 quantity demand ↓
 Depends on PED!

- * Tax revenue
- * consumption ↓
- * Reduce externalities

Elastic demand

e.g. Duty on imported goods

prices ↑
 QD ↓

consumption ↓

Inelastic demand

e.g. Demerit goods

prices ↑
 QD ↓

Tax revenue

Indirect tax, a tax which is imposed on goods and services e.g. sales tax, this increases cost of production, causing a reduction in supply, this causes shortage and a rise in price, which will contract quantity demand, the extent to which it contract, depends on price elasticity of demand.

Note:- Knowledge of Price elasticity of demand will be useful to the government to achieve certain objectives.

If the demand for the product is inelastic, e.g. cigarette, they contain addictive nature, imposition of indirect tax will increase the price by greater percentage will contract quantity by smaller percentage.

You should be able to see two advantages, one quantity is still reducing, even to some extent but still there is a reduction, and along with that the government will be able to generate higher tax revenue which the government can use in form of advertising to influence the decision of individual in long run.

If the demand for the product is elastic, e.g. Duty on imported goods, since there is availability of substitutes, that is domestic cars. So a rise in price by small percentage of imported cars, will contract its quantity by greater percentage. The target is to switch domestic residents from imported goods to domestic goods, this flourish the economy in terms of rise in income, output and employment.

Note:- Joint supply, some production processes create more than one product, a situation known as joint supply. For example, oil leads to the by-product soap. An increase in the supply of oil will lead to an increase in the supply of soap, shifting the supply curve of soap to the right.

Questions

Marks: 30

- Q1 Explain how increase in cost of production can affect the supply of a firm? 4
- Q2 Explain how technological advancement can affect the supply of a firm? 4
- Q3 Explain how provision of subsidy can affect the supply of a firm? 4
- Q4 Explain how imposition of indirect tax can affect the supply of a firm? 4
- Q5 Explain what objective will government be able to achieve if it imposes indirect tax on a product with inelastic demand? 6
- Q6 Explain what objective will government be able to achieve if it imposes indirect tax on a product with elastic demand? 6
- Q7 Define joint supply? 2